COVER STORY

PREPARING FOR ECONOMIC UNCERTAINTY

You cannot control the economy, but understanding how uncertainty affects your financial plan and reviewing it regularly can help you stay relevant over time

By **Narayan Krishnamurthy**

Record fuel prices, rising food inflation, low interest on savings, war, zigzagging tariffs and global trade uncertainty are making short-term financial planning impossible for many households. Increments are on hold, your financial and retirement portfolio too are beginning to suddenly look inadequate. If you feel financial pressure from every direction and are worried, you are not alone. The Current Situation Index (CSI) by the Reserve Bank of India's Urban Consumer Confidence Survey declined to 88.3 in July, signalling pessimism. This lower score indicates that urban households feel persistent caution regarding prevailing economic conditions and employment compared to a year ago, when the score was 96.5.

Many urban households, even those with multiple earners, face complex financial challenges. They haven't seen much income growth, and they worry about keeping their jobs even as essential household expenses rise. Month-to-month survival is making people cut into even essentials in many cases, impacting their mental health and peace of mind.

Inflation, fluctuating interest rates, global financial instability and cost-of-living pressures mean economic uncertainty is an unavoidable part of life. Many families are feeling the effects of rising expenses and financial stress, making it harder to adhere to long-term financial goals. However, while you can't control the economy, you can take steps to safeguard your finances and future-proof your financial plans. Proactively managing your money, diversifying your income and making strategic financial decisions can help you remain stable even in uncertain times. You need to review your risk tolerance, because it becomes highly sensitive when nothing seems certain.

↘ Rethinking Financial Life

Indian households have shifted from being savers to spenders. Youngsters are living paycheque to paycheque, and their financial choices differ greatly from those of the previous generations. Choices beyond bank FDs and insurance policies have exposed them to a culture that values risk and moves away from capital protection. With rising expenses and high inflation, people are shifting away from focusing only on savings. As the workforce evolves, households have adapted to variable income streams, as salaries are no longer fixed. The days of the salary hitting the account on the first of the month are also history. This shift has also been quickly accepted by those who are in their 40s and 50s.

Easy access to credit and a wide variety of financial products and services are a wake-up call to rethink personal finance. Many of us have developed our own methods of managing money